

White Plains Groundbreaking Shows Construction Debt Is Available, but Only for the Right Sponsors

Cord Meyer and Saber's \$96M ACRES loan reveals where private credit is willing to lend in 2026.

The most important number in the 70 Westchester Avenue groundbreaking is not the 203 units or the 331,691 square feet. It is the lender: ACRES Capital, providing a \$96 million first mortgage construction loan. Private credit is not writing blank checks for suburban multifamily in 2026. It is writing specific checks for specific sponsors, specific locations, and specific capital stacks. This deal reveals the conditions under which construction debt is still available.

Cord Meyer Development and Saber Real Estate North broke ground June 30 on a ten-story mixed-use project in White Plains, directly across from The Westchester shopping center. The project will deliver 203 units, 9,600 square feet of ground-floor retail, and a 266-vehicle parking garage with EV chargers. Completion is expected in early 2028. The site was formerly a one-story car dealership.

The developers secured economic development incentives from the Westchester County Industrial Development Agency, which approved tax benefits to expand local housing and promote jobs. The capital stack tells the real story. ACRES, a private commercial real estate lender, provided the full construction loan. That is a signal worth examining. Construction lending from regional and national banks has not returned to pre-2022 levels.

Regulatory pressure, deposit costs, and balance sheet constraints keep most banks on the sidelines for ground-up risk. Private credit has filled part of the gap, but selectively. The lenders that survived the 2023-2025 correction are not chasing volume. They are underwriting sponsor track record, basis, and exit clarity. Cord Meyer Development brings a long history in Queens and a reputation for executing complex infill projects.

Saber Real Estate North adds local market knowledge. The site sits on a highly visible corner with immediate access to Interstate 287, in a suburban downtown with strong office, retail, and transit demand. The IDA incentives reduce carrying costs during construction and early lease-up.

This is the profile that gets financed in 2026: experienced joint venture, infill location with demand visibility, public sector support, and a loan structure that gives the lender a clear path to repayment. Who benefits? Cord Meyer and Saber get the capital to build. ACRES gets a loan secured by a well-located asset with a credible sponsor and a basis that pencils at today's construction costs and projected rents.

The County of Westchester gets new housing units and construction jobs. Who is exposed? Any developer without this profile. The market is not rewarding ambition. It is rewarding structure. Sponsors without a deep balance sheet, a site in a proven submarket, or a public subsidy will find construction debt expensive or unavailable. The deal also reveals something about the broader multifamily development cycle. Construction starts remain below historical averages nationally.

The projects that do break ground are concentrated in locations with strong demographic and employment fundamentals. White Plains qualifies. The question is how many similar sites exist, and how many sponsors can clear the financing bar. For lenders, the lesson is that construction lending is not closed. It is concentrated. The lenders that survived the cycle are writing loans where they can see the exit.

That means experienced sponsors, defensible basis, and assets that will lease in any environment. For developers, the message is clear: bring more than a site plan. Bring a balance sheet, a track record, and a reason the lender gets paid first. Private credit is not the new construction lender of last resort. It is the new construction lender of first resort, but only for the deals that meet a higher threshold.

The rest of the market is still waiting.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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